Course Syllabus

ECON 7335: Introduction to Information Economics

Fall 2026

Time and Place:
Monday & Wednesday
10:10am - 11:25am (Last Class October 7)
Rockefeller Hall 110

Instructor:
Ryan Chahrour (ryan.chahrour@cornell.edu)
Canvas Course Homepage
Office Hours: Mondays 4:30-5:30pm, or signup via calendly.

Course Overview:

The course explores alternatives to the full-information, rational expectations paradigm with an emphasis on macroeconomic applications. This course is primarily theoretical. The course begins with a brief overview of techniques for inference and filtering under incomplete information. We then consider models of coordination games, imperfect foresight, rational inattention, adaptive learning, and bounded rationality. Assignments will consist of two problem sets and a final project.

Assignments and Grading:

Two problem sets, worth 25% each, and a final project, worth 50%.

The final project is a "build your own problem set" assignment: working in groups of up to three, you will write an original problem set covering material from the course, together with a solution key. I will attempt your problem set. Please form groups by the end of the third week of class. The project is due Friday, October 23, two weeks after the last day of class. Full details are on Canvas.

Optional Text

- Laura Veldkamp. *Information Choice in Macroeconomics and Finance.* Princeton University Press, 2011

Preliminary Course Outline

Week 1: Introduction to Inference and Filtering

Week 2: Static coordination games

- Stephen Morris and Hyun Song Shin. Unique Equilibrium in a Model of Self-Fulfilling Currency Attacks. *The American Economic Review*, 88(3):pp. 587–597, 1998
- Stephen Morris and Hyun Song Shin. Social Value of Public Information. *The American Economic Review*, 92(5):pp. 1521–1534, 2002

- Ryan Chahrour and Gaetano Gaballo. Learning from House Prices: Amplification and Business Fluctuations. *The Review of Economic Studies*, 88(4), July 2021

Week 3: Dynamic models of incomplete information

- Michael Woodford. Imperfect Common Knowledge and the Effects of Monetary Policy. *Knowledge, information, and expectations in modern macroeconomics: In honor of Edmund S. Phelps*, 25(1):4, 2003
- Guido Lorenzoni. A Theory of Demand Shocks. *American Economic Review*, 99(5), December 2009
- Giacomo Rondina and Todd B. Walker. Confounding Dynamics. *Journal of Economic Theory*, 196:105251, 2021
- Ryan Chahrour and Kyle Jurado. Recoverability and Expectations-Driven Fluctuations. *The Review of Economic Studies*, 89(1):214–239, 03 2021
- Zhen Huo and Marcelo Pedroni. Dynamic Information Aggregation: Learning from the Past. *Journal of Monetary Economics*, 2023

Week 4: Information choice and rational inattention

- Sanford J. Grossman and Joseph E. Stiglitz. On the Impossibility of Informationally Efficient Markets. *The American Economic Review*, 70(3):pp. 393–408, 1980
- Christopher A. Sims. Implications of Rational Inattention. *Journal of Monetary Economics*, 50(3):665 – 690, 2003
- Bartosz Mackowiak and Mirko Wiederholt. Optimal Sticky Prices under Rational Inattention. *American Economic Review*, 99(3):769 – 803, 2009
- Filip Matêjka and Alisdair McKay. Rational Inattention to Discrete Choices: A New Foundation for the Multinomial Logit Model. *American Economic Review*, 105(1):272–98, 2015
- Kyle Jurado. Rational Inattention in the Frequency Domain. *Economic Research Initiatives at Duke (ERID) Working Paper*, (298), 2020
- Rava Azeredo da Silveira and Michael Woodford. Noisy Memory and Over-Reaction to News. *AEA Papers and Proceedings*, 109:557–61, May 2019
- Yeji Sung. Macroeconomic Expectations and Cognitive Noise. *American Economic Review (Conditionally Accepted)*, 2026

Week 5: News and THE News

- Ryan Chahrour and Kyle Jurado. News or Noise? The Missing Link. *American Economic Review*, 108(7):1702–36, 2018

- Bartosz Maćkowiak and Mirko Wiederholt. Rational Inattention and the Business Cycle Effects of Productivity and News Shocks. *American Economic Journal: Macroeconomics*, 17(1):274–309, 2025
- Ryan Chahrour and Kyle Jurado. Optimal Foresight. *Journal of Monetary Economics*, 118:245–259, 2021
- Kristoffer P. Nimark and Stefan Pitschner. News Media and Delegated Information Choice. *Journal of Economic Theory*, 181:160 – 196, 2019

Week 6: Near-Rational Beliefs

- George-Marios Angeletos and Zhen Huo. Myopia and Anchoring. Technical report, National Bureau of Economic Research, 2018
- Mariana García-Schmidt and Michael Woodford. Are Low Interest Rates Deflationary? A Paradox of Perfect-Foresight Analysis. *American Economic Review*, 109(1):86–120, January 2019
- Xavier Gabaix. A Behavioral New Keynesian Model. *American Economic Review*, 110(8):2271–2327, August 2020
- Alexandre N Kohlhas and Donald Robertson. Cautious Expectations. *Journal of Monetary Economics*, page 103759, 2025

Week 7: TBD with student input. Possibilities include:

- Olivier Coibion and Yuriy Gorodnichenko. Information Rigidity and the Expectations Formation Process: A Simple Framework and New Facts. *American Economic Review*, 105(8):2644–78, August 2015
- Pedro Bordalo, Nicola Gennaioli, Yueran Ma, and Andrei Shleifer. Overreaction in Macroeconomic Expectations. *American Economic Review*, 110(9):2748–82, September 2020
- Alexandre N. Kohlhas and Ansgar Walther. Asymmetric Attention. *American Economic Review*, 111(9):2879–2925, September 2021
- Nathan Goldstein and Yuriy Gorodnichenko. Expectations Formation and Forward Information. Working Paper 29711, National Bureau of Economic Research, January 2022
- Joel P Flynn, Maksim Meinert, and Karthik Sastry. Forecasting with Uncertain Persistence. Technical report, National Bureau of Economic Research, 2026
- Fabio Milani. Expectations, Learning and Macroeconomic Persistence. *Journal of Monetary Economics*, 54(7):2065 – 2082, 2007
- Stefano Eusepi and Bruce Preston. Expectations, Learning, and Business Cycle Fluctuations. *American Economic Review*, 101(6):2844 – 2872, 2011